

23VECV00668 23VECV00668

County: los-angeles

Division: Civil Law and Motion

Department: O

Hearing date: 2026-08-24

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=NW%20%2CO%2C08%2F24%2F2026

Source SHA-256: be3888765397c9743dbd7b92f24873241d43c66037fa2f18bf26b62cc7b9be41

Case Number: 23VECV00668 Hearing Date: August 24, 2026 Dept: O

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF LOS ANGELES - NORTHWEST DISTRICT

BRIAN EISENDRATH, an individual, TARA KAPLAN EISENDRATH, an individual,

Plaintiff,

vs.

KMADN CAPITAL MANAGEMENT, LLC, a California limited liability company; AVINA PROPERTIES, LLC, a California limited liability company; MA HAJAR PROPERTIES, LLC, a California limited liability company; AVI WAZANA, an individual; MARGARITA WAZANA, an individual; and DOES 1 through 100, inclusive,

Defendant.

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

)

CASE NO.: 23VECV00668

ORDER GRANTING DEFENDANTS' MOTION TO BIFURCATE

AND RELATED CROSS ACTIONS.

)

)

)

)

)

)

I. BACKGROUND

This is a residential construction defect dispute. Plaintiffs Brian Eisendrath, Tara Kaplan Eisendrath, and Long Valley Partners, LLC ("Plaintiffs") allege the new luxury home they purchased exhibited extensive defects. (See Second Amended Complaint ("SAC"), ¶ 11.) Plaintiffs allege they purchased the home from KMADN Capital Management, LLC ("KMADN"), which is managed by Avi Wazana ("Avi W."). (See *id.*, ¶ 14.) Plaintiffs allege they gave KMADN notice of a claim pursuant to and in compliance with the Right to Repair Act but KMADN declined to repair the defects without first obtaining a settlement of all alleged defects and a release of all claims, which is prohibited by the Right to Repair Act. (See *id.*, ¶¶ 18, 20.) Plaintiffs allege Defendants Avina Properties, LLC ("Avina") and MA Hajar Properties, LLC ("MA Hajar") are shell entities managed by Avi W. and Margarita Wazana ("Margarita W.") created for the sole purpose of receiving transferred property to keep it out of the reach of creditors. (See *id.*, ¶¶ 3-6.)

KMADN, Avi W., Avina, Ma Hajar, and Margarita W. (jointly, "Defendants") move for bifurcation. The Court had continued the motion for an extended period of time until the issue was ripe enough to address.

II. PROCEDURAL HISTORY

On February 14, 2023, Plaintiffs filed a Complaint.

On April 13, 2023, KMADN, Avina, and Ma Hajar filed an Answer.

On April 25, 2023, KMADN filed a Cross-Complaint alleging (1) Express Indemnity; (2) Implied Indemnity; (3) Equitable Indemnity; and (4) Contribution.

On June 8, 2023, Calypso Painting Inc. ("Calypso") filed an Answer to KMADN's Cross-complaint. Calypso also filed a Cross-Complaint alleging (1) Equitable Indemnity; (2) Implied Indemnity; and (3) Contribution.

On June 14, 2023, WJ Larimer Construction Inc. filed an Answer to KMADN's Cross-Complaint.

On June 16, 2023, S&S Waterproofing, Inc. ("Waterproofing") filed an Answer to KMADN's Cross-Complaint. Waterproofing also filed a Cross-Complaint alleging (1) Equitable Indemnity; (2) Contribution and Apportionment; and (3) Declaratory Relief.

On June 6, 2023, MAGNUM LAND CLEARING, INC. filed an Answer to KMADN's Cross-Complaint.

On June 30, 2023, Harber Family Incorporated filed an Answer to KMADN's Cross-Complaint.

On July 5, 2023, Graziano Custom Roofing, Inc. filed an Answer to KMADN's Cross-Complaint.

On November 6, 2023, Vano Construction Inc. filed an Answer to KMADN's Cross-Complaint.

On November 28, 2023, Jerry Ivory Construction, Inc. filed an Answer to KMADN's Cross-Complaint.

On March 6, 2025, the Court granted Plaintiff and Defendant's stipulation to leave for Plaintiffs to file a FAC.

On March 10, 2025, Defendants filed the instant Motion to Bifurcate.

On March 12, 2025, Plaintiffs filed a FAC alleging the same causes of action as their Complaint and added Long Valley Partners, LLC as a plaintiff.

On March 26, 2025, Plaintiffs filed an Opposition.

On April 2, 2025, Defendants filed a Reply and Calypso filed a Notice of Joinder to the Motion to Bifurcate.

On December 5, 2025, the Court granted the parties' Stipulation for Leave of Plaintiffs to File a Second Amended Complaint.

On December 17, 2025, KMADN filed an Amendment to Cross-Complaint, designating Roe 1 as Flexi-Tech Contracting, Inc., a California corporation.

On December 17, 2025, Plaintiffs filed their SAC alleging (1) Violations of Building Standards for Original Residential Construction; (2) Breach of Express Warranty; (3) Avoidance and Recovery of Fraudulent Transfers [By Actual Fraud]; and (4) Avoidance and Recovery of Fraudulent Transfers [By Constructive Fraud].

On March 13, 2026, Cross-Defendant Flexi-Tech Contracting, Inc. (Roe No. 1) ("Flexi-Tech") filed an Answer and Cross-Complaint.

On April 16, 2026, Flexi-Tech designated Jabs Pools as Foe 1, Jg Grading & Excavation as Foe 2, and La Gunite as Foe 3.

On August 3, 2026, Plaintiff filed a Sur-Reply to the instant Motion.

On August 6, 2026, Harber Family Incorporated filed a Notice of Joinder.

On August 10, 2026, Defendants filed an Opposition to Plaintiff's Sur-Reply.

On August 11, 2026, Plaintiffs filed an Objection to Harber Family' Joinder.

On August 14, 2026, JG Grading & Excavation filed an Answer.

III. JUDICIAL NOTICE

Defendants request for judicial notice pursuant to Evidence Code § 452(d) of (1) Plaintiffs' Complaint filed on February 14, 2023, and (2) Margarita W.'s Petition for Dissolution of Marriage filed April 8, 2021, in the Superior Court of the County of Los Angeles, Case No. 21STFL03841. (See RJN, Exs.1-2.)

The Court GRANTS Defendants' request.

IV. LEGAL STANDARD

Code of Civil Procedure § 598[1] provides in pertinent part, "[t]he court may, when the convenience of witnesses, the ends of justice, or the economy and efficiency of handling the litigation would be promoted thereby, on motion of a party, after notice and hearing, make an order . . . that the trial of any issue or any part thereof shall precede the trial of any other issue or any part thereof."

Similarly, Code of Civil Procedure § 1048(b) provides in pertinent part, "[t]he court, in furtherance of convenience or to avoid prejudice, or when separate trials will be conducive to expedition and economy, may order a separate trial of any cause of action, including a cause of action asserted in a cross-complaint, or of any separate issue or of any number of causes of action or issues."

The Court's discretionary authority to sever claims and try them separately may also be employed to avoid undue prejudice to a party. (*Stencel Aero Engineering Corp., v. Superior Court* (1976) 56 Cal.App.3d 988.) Courts have inherent power to regulate the order of trial, and therefore, can entertain a motion to bifurcate at any time – even during the trial itself. (See *McLellan v. McLellan* (1972) 23 Cal.App.3d 343, 353.)

The discretion of the trial court to bifurcate claims and try them separately is broad and will not be disturbed on appeal, except for abuse. (See *National Electric Supply Co. v. Mt. Diablo Unified School Dist.* (1960) 187 Cal.App.2d 418; see *Buran Equip. Co. v. H & C Investment Co.* (1983) 142 Cal.App.3d 338, 343-344.)

V. EVIDENTIARY OBJECTIONS

The Court overrules Plaintiff's objections to the August 10, 2026 Supplemental Declaration of Michele M. Tuman.

VI. ANALYSIS

Defendants (and Calypso, via its Notice of Joinder) move for bifurcation on grounds it would preserve judicial economy, avoid confusion of the issues for the jury, and avoid prejudice to Defendants. Defendants argue it is logical Plaintiffs' first and second causes of action, which concern defective conditions on Plaintiff's property, be tried first because the third and fourth causes of action for alleged fraudulent transfers are contingent upon damages awarded to Plaintiffs for the first two causes of action. (See Mot. at 2:9-15.) Defendants argue bifurcation will likely render the second phase unnecessary which would conserve judicial resources, avoid confusion of the issues by allowing jurors to manage facts pertaining only to construction

defects, and avoid prejudicing Defendants due to any evidence of Defendants' wealth. (See id., 7:24-8:8, 8:13-9:21.) Defendants' counsel attests he anticipates trial for the construction defects will take at least two weeks and will involve eight cross-defendant subcontractors. (See Declaration of Michele M .Tuman filed March 10, 2025, ¶ 5.)

In opposition, Plaintiffs argue Defendants failed to demonstrate bifurcation will promote judicial economy, efficiency or fairness. Plaintiffs argue bifurcation would promote confusion because Plaintiffs' evidence regarding conditions of the property implicates both individual and corporate defendants and bifurcation would require Plaintiffs to separate the presentation of testimony between two trials. (See Opp. at 3:9-18.) Plaintiffs also argue there is an overlap of proof for all four of their claims, as Defendants must present evidence at trial on the alter ego issue, knowledge of construction defects, and relationship to each other. (See id., at 3:19-4:13.) Plaintiffs further argue Defendants will not be prejudiced by trying all four claims together as prejudice may be minimized by jury instructions. (See id., at 5:3-10.)

Defendants argue Plaintiffs' first two causes of action are readily separable from the third and fourth causes of action because the fraudulent transfer claims require Plaintiffs' first establish their right to payment and their status as creditor. (See Reply at 3:12-25; citing CACI 4200, 4202 and Wisenburg v. Cragholm (1971) 5 Cal.3d 892, 896.) Defendants argue it is logical to first determine whether Plaintiffs obtain a judgment and then to the extent the judgment is not satisfied, resolve whether there were voidable transfers of assets, the asset's valuation, and determine which asset must be transferred back to satisfy Plaintiffs' judgment. (See Reply at 4:14-23, 6:1-10.) Defendants also argue the presentation of evidence is readily separable as no evidence of the alleged fraudulent transfers is relevant to Plaintiffs' construction defect claims and involve a separate group of witnesses. (See id., at 4:1-13.)

Plaintiff's sur-reply argues Defendants erroneously argue a debt certain must first be established because a fraudulent transfer claim is ripe. (See Sur-Reply at 2:1-14.) Plaintiffs cite MACH-1 RSMH, LLC v. Darras (2024) 103 Cal.App.5th 1288, 1300, Wisenburg, 5 Cal.3d at 896, and Cortez v. Vogt (1997) 52 Cal.App.4th 917, 930-931 for the proposition that a creditor can maintain a fraudulent transfer claim before obtaining a judgment on the underlying claim. (See id., at 3:4-14, 4:25-26.) Plaintiffs cite Civil Code § 3439.01(c) which defines creditor as "a person that has a claim". (See id., at 2:28.) Second, Plaintiffs point out Avi W. commenced an action which also pleads a fraudulent transfer claim without a judgment on any underlying claim. (See id., at 5:11-16.) Third, Plaintiffs argue the supporting reply declaration doesn't provide any evidence supporting their assertions the UVTA phase will require a variety of experts and examination of tax records. (See id., at 6:4-9.) Finally, Plaintiffs argue the Court should decline Defendant's request, first raised in reply, that the UVTA claims are equitable and must be tried solely to the Court. (See id., at 7:8010.) Plaintiffs argue because they allege they may recover the equivalent value of the transfers, and do not just request recovery of particular real property, the action does not only involve equitable relief.

Defendants' sur-reply argues they do not dispute Plaintiffs have a right to maintain their fraudulent transfer claim. (See Def.'s Sur-Reply at 4:21-28.) However, because a right to payment or debt is an element of a UVTA claim, they request bifurcation so the amount of "debt" be established first through resolution of the construction defect claims, before Plaintiffs proceed to present to the Court and jury the financial affairs of Avi W. and Margarita W. with the goal of voiding twenty property transfers made as part of the Wazana's dissolution of marriage. (See id., at 3:5-15.) Defendants argue assuming arguendo an amount of money is deemed due, that amount will define the scope of the transfers so that it may be unnecessary to evaluate all twenty property transfers. (See id.) Defendants further argue Plaintiffs' SAC seeks equitable relief in the form of "avoiding the transfers" and "attach[ing] the [twenty (20)] properties transferred from KMDAN" which will require a separate bench trial. (See id., at 7:22-25.) Defendants submit a supplemental declaration in response to Plaintiff's Sur-Reply and attach a preliminary list of anticipated witnesses for both the construction defect phase and the separate UVTA phase. (See Declaration of Michele M .Tuman filed August 10, 2026, ¶ 5., Exs. A1 and A2.)

On August 6, 2025, Cross-Defendant Harber Family ("Harber") joined Defendant's Motion. Harber argues Plaintiffs should first proceed with the construction defect claims, involving Plaintiffs, Defendants, and subcontractor cross-defendants, followed by the fraudulent transfer claims. (See Joinder at 6:1-6.) Harber argues the subcontractor cross-defendants, like itself, should not be required to attend or participate in the trial of the fraudulent conveyance claims because those claims are not asserted against them. (See id., at 7:17-19.) Harber also argues KMDAN is entitled to bifurcate Plaintiff's punitive damages claim as a matter of law. Harber argues this phase would also not implicate the subcontractor cross-defendants, and they should not be required to participate in this phase. (See id., at 7:20-8:5.) Harber requests a bifurcation order reflecting this position.

Plaintiffs argue Harber's Notice of Joinder is untimely and not a joinder because it seeks affirmative relief on behalf of itself and other similarly situated subcontractor defendants. (See Plf.'s Objection to Harber Joinder at 2:1-6.) Plaintiffs cite *Decker v. U.D. Registry, Inc.* (2003) 105 Cal.App.4th 1382, 1391, and *Village Nurseries, L.P. v. Greenbaum* (2002) 101 Cal.App.4th 26, 46-47, for this position. (See *id.*, at 3:11-17.) Plaintiffs also argue Harber's Notice of Joinder should be disregarded because it notices a hearing date that passed before the joinder was even filed, Harber waited until after Plaintiff filed their sur-reply to file its Notice of Joinder which expands the requested relief sought by KMADN's Motion, and Harber should have filed a timely noticed motion instead. (See *id.*, at 2:7-20, 3:5-7.) Plaintiffs further reassert their substantive arguments as set forth in their Sur-Reply concerning their ability to maintain a fraudulent transfer claim without judgment. (See *id.*, at 5:1-3.)

Harber filed an objection to Plaintiffs' objection, arguing *Barak v. Quisenberry Law Firm* (2006) 135 Cal.App.4th 654, 660-661, held it was proper to consider a party's joinder to an anti-SLAPP motion wherein he sought affirmative relief on behalf of himself. Barak declined to follow *Decker*, stating "Decker discussed the effect of a joinder in the context of Saltz's standing to appeal from denial of a special motion to strike and concluded, without analysis, that because a joinder in a motion for summary judgment is ineffective, the same should be true with regard to a motion to specially strike. Given the context of this case, we do not follow the precedent of *Decker*." (*Id.* ["When a party merely joins in a motion for summary judgment without presenting its own evidence, the party fails to establish the necessary factual foundation to support the motion."].)

The Court agrees with Defendants' arguments that bifurcation will promote judicial efficiency and mitigate against any potential prejudice that presenting evidence of fraudulent transfers for the jury to decide at the same time as issues of liability would cause Defendants. Accordingly, the Court will grant the Motion.

As an initial matter, the Court will consider the Harber joinder. Barak held the trial court did not abuse its discretion in entertaining a joinder where the joining party established the necessary foundation and sought affirmative relief on its own behalf. (See *id.*) Moreover, Plaintiffs appropriately opposed Harber's Motion in addition to objecting to it on procedural grounds. Thus, there is no prejudice to Plaintiffs for considering Harber's joinder.

As Defendants acknowledge, they do not argue Plaintiffs cannot bring their fraudulent transfer claims without a judgment, but rather that it is efficient to first resolve the construction defects-based claims before proceeding to the fraudulent transfer claims, given that the former will inform the scope of the latter. The Court agrees this is a reasonable approach to Plaintiffs' claims which are readily separable into two phases as a judgment is a prerequisite to Plaintiffs' fraudulent conveyance claims. "A well-established principle of the law of fraudulent transfers is, 'A transfer in fraud of creditors may be attacked only by one who is injured thereby. Mere intent to delay or defraud is not sufficient; injury to the creditor must be shown affirmatively. In other words, prejudice to the plaintiff is essential. It cannot be said that a creditor has been injured unless the transfer puts beyond [her] reach property [she] otherwise would be able to subject to the payment of [her] debt.'" (*Mehrtash v. Mehrdash* (2001) 93 Cal.App.4th 75, 80, internal citations omitted.) If Plaintiffs are not entitled to relief based on their first two claims, Plaintiffs will be unable to show they were injured financially by any alleged fraudulent transfer as there would be no money judgment to enforce. Accordingly, it is efficient to all parties involved and the Court to first resolve the construction defect claims and determine what debt Plaintiffs are owed.

In addition, introducing evidence of fraudulent transfers by various defendants runs too great a risk of jurors being influenced to the point of being prejudiced against them when it comes to the threshold issue of their liability. Given the context of the case, the Court finds admitting evidence of the fraudulent transfers would be tantamount to admitting evidence of one or more defendants' bad character. Bifurcation inoculates the jury's finding as to the issue of liability against being improperly infected by this evidence.

The Court finds Plaintiffs' argument too conclusory to be persuasive. They haven't identified which specific testimony or evidence would be duplicative to the point of being unacceptably inefficient. Similarly, Plaintiffs have not explained how the alter ego allegations are so inextricably intertwined with their construction defect claims as to render trying them separately a waste of judicial resources. Plaintiffs fail to support their contention they "will have to introduce evidence concerning the knowledge of Builder/Seller Defendants to each other" that would demonstrate to the Court why bifurcation would be inappropriate. Based on the record before it, bifurcation will permit the Court to conserve judicial resources it would have otherwise expended in trying all claims together. The Court also finds bifurcation will aid juror comprehension, as jurors will manage facts relating solely to the construction defects, which involve at least eight subcontractor defendants, separate from

the financial evidence pertaining to the fraudulent conveyance claims.

Based on the foregoing, the Court GRANTS Defendants' Motion for Bifurcation.

VII. CONCLUSION

Based on the foregoing, the Court GRANTS Defendants' Motion for Bifurcation.

IT IS SO ORDERED.

DATED: August 24, 2026

Hon. Michael R. Amerian

Judge, Superior Court

[1] All statutory references are to California codes unless stated otherwise.